Metals & Mining

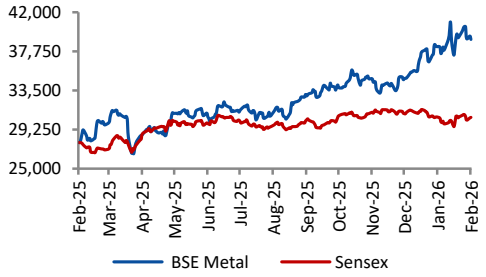
23 February 2026

Mixed trends across sub-sectors with steady earnings

3QFY26 RESULT REVIEW

Industry	Metals & Mining

Relative performance: BSE Metals v/s Sensex



Source: Company, Systematix Research

Sector Rating (Rs)

Company	CMP	TP	Reco
Tata Steel	208	230	BUY
JSW Steel	1,234	1,162	HOLD
SAIL	159	138	HOLD
NMDC	80	95	BUY
Coal India	424	371	HOLD
MOIL	298	392	HOLD
Hindalco	936	840	HOLD
NALCO	341	436	BUY
Vedanta	682	898	BUY
Hindustan Zinc	589	755	BUY
APL Apollo Tubes	2,186	2,393	BUY
Jindal SAW	181	235	BUY
Jai Balaji Industries	63	133	BUY
Welspun Corp	785	1,157	BUY

Source: Company, Systematix Research

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Our coverage companies posted steady earnings in 3QFY26, broadly aligning with our expectations. Higher volumes by major steel producers supported topline growth this quarter, partially offset by weaker realizations. Steel spreads demonstrated resilience led by operational efficiency and cost control measures despite weaker realisations. JSW Steel (JSTL HOLD), Tata Steel (TATA BUY), and SAIL (HOLD) reported combined sales volume of 21mt, registering 9% YoY growth, boosted by capacity expansions and rising demand from infrastructure and automotive segments. EBITDA margin expanded by 231bps YoY but fell 58bps QoQ. In the steel pipes and tubes segment, Welspun Corp (WLCO BUY) outperformed peers with 25% and 42% YoY growth in revenue and EBITDA, respectively, powered by higher margins and superior product mix in key operating regions. APL Apollo Tubes (APAT BUY) posted robust performance this quarter with a 10.7% YoY volume growth, helping support EBITDA/t at Rs 5,146/t, recording only a marginal dip despite a 6% sequential decline in HRC prices. Jindal Saw's performance recovered sequentially led by better capacity utilisation and higher order execution. Mining companies under our coverage posted a weak quarter, with NMDC (NMDC BUY) recording a 10% YoY decline in EBITDA primarily due to higher royalty while MOIL (HOLD) and Coal India (COAL HOLD) posted weaker volumes as well as realisation. Non-ferrous companies posted strongest earnings growth on higher commodity prices, stable volumes, and backward integration benefits, translating into 63bps/116bps YoY/QoQ EBITDA margin expansion. Overall, 3QFY26 reflects a divergence within the metals and mining universe, with steel and non-ferrous players demonstrating margin resilience through operational efficiencies and favorable product mix, while mining companies face volume and cost pressures; near term earnings trajectory is likely to hinge on realisation trends, raw material costs, and domestic demand momentum. Our pecking order of top picks under our coverage is WLCO, VEDL, NMDC, and TATA.

3QFY26 summarised

Primary steel producers: The steel sector, represented by JSTL, TATA, and SAIL, continued to demonstrate volume growth in 3QFY26, supported by ongoing capacity ramp ups and steady domestic demand. However, 3Q witnessed sequential pressure on realisations amid softer HRC prices and elevated imports, partially offset by price hikes that commenced toward the end of the quarter. Looking ahead, multiple price hikes announced since the implementation of safeguard duty are expected to lift spreads in 4QFY26. While near term earnings trajectory also depends on rising coking coal costs and import flows, but capacity additions, improving product mix, and continued cost optimisation position JSTL and TATA relatively better within the ferrous space.

JSTL reported healthy volume growth driven by Vijayanagar ramp up and stregnthened value added product mix. Even as blended realisations fell QoQ, product mix enrichment and scale efficiencies supported margin resilience despite elevated coking coal costs. **TATA** delivered strong YoY earnings growth aided by disciplined cost transformation initiatives and improving profitability at Netherlands operations. India deliveries remained robust, supported by Kalinganagar ramp up and downstream mix, although spreads moderated QoQ. **SAIL** also reported notable

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earnings growth, supported by debottlenecking initiatives and inventory liquidation; however, SAIL's margin profile remains structurally lower relative to peers.

Mining: Volume recovery was visible sequentially for **NMDC** (BUY) and **COAL** (HOLD), while **MOIL's** (HOLD) performance was impacted by lower offtake. Broadly, realisations were stable or marginally lower with margins largely a function of volume dynamics and cost absorption base.

Steel pipes and tubes: The steel pipes sector delivered a mixed quarter, with players with diverse products and operations outperformng others. **WLCO** recorded strong EBITDA growth driven by a superior product mix, healthy execution across geographies and a robust orderbook. **APAT** posted robust volume growth and maintained resilient EBITDA/t despite lower HRC prices, aided by stable VAP mix and imrpoved utilisation. **JSAW** witnessed YoY pressure on margins due to weak domestic spending in key government schemes (JJM), though sequential recovery indicates that profitability likely bottomed in 2QFY26. Order book visibility across India and UAE operations provides near term stability, however, a sustained revival in government capex remains key for notable future growth.

Non-ferrous: Non ferrous players under coverage delivered strong quarter, supported by commodity prices, stable volumes and benefits of backward integration. **HZ** (BUY) and **VEDL** (BUY) reported robust earnings growth led by higher zinc, silver, and aluminium prices along with lower cost of production supporting margin expansion. **NACL** (BUY) reported sequential improvement supported by higher aluminium premium and higher alumina volumes, while **HNDL** (HOLD) saw steady India upstream performance partly offset by weaker Novelis shipments.

Outlook and view

Primary steel: JSTL trades at 10.9x/9.4x FY27E/FY28E EV/EBITDA reflecting valuation premium to peers driven by execution track record, backward integration and a consistently visible expansion roadmap. TATA (trades at 7.7x/5.9x FY27E/FY28E EV/EBITDA) offers an attractive entry point with disciplined cost management, favorable domestic growth, and the green steel transition in Netherlands and UK. We remain cautious on SAIL (trades at 7.8x/7.1x FY27E/FY28E EV/EBITDA), with moderate and slower expansion plans relative to its peers.

Mining: Lower coal offtake and long-term energy transition risk are negative for COAL, partially offset by a consistent dividend yield. NMDC's growth trajectory is well-supported by domestic demand and its planned capex to execute enhanced EC limits. MOIL, with a niche market and strong demand fundamentals, presents re-rating potential, however, guidance delivery reamins key. Attractive valuations, strong balance sheet, and consistent growth make NMDC attractive at this level, however, we closely watch volume growth and guidance deliveries for COAL and MOIL with a HOLD rating on the stocks.

Steel pipes and tubes: WLCO (7.1x/5.3x FY7E/FY28E EV/EBITDA) is our top pick featuring notable expansion pipeline and potential margin growth with the shift to a superior product mix. JSAW (6x/4.6x FY27E/FY28E EV/EBITDA) is a strong candidate for re-rating with its diverse operations and improved balance sheet, albeit contingent on volume growth. Higher EBITDA/t and consistent volume growth could drive APAT to re-rate (25.7x/21.9x FY7E/FY28E EV/EBITDA). Clear execution is necessary for JBIL (7.5x FY27E EV/EBITDA) given the revised capex and commissioning timelines.

Non-ferrous: HZ trades at 9.8x/8.3x FY7E/FY28E, reflecting strong silver-led earnings visibility and margin expansion. VEDL's (4.4x/4.3x FY7E/FY28E) growth would be supported by aluminium, zinc and silver, and power segments with ongoing deleveraging and upcoming demerger offering upside potential. NALCO's (7x/5x FY7E/FY28E) alumina refinery ramp up in FY28 provides valuation comfort at current levels. HNDL's (5.3x/4.7x FY7E/FY28E) India operations provide earnings stability, while recovery in Novelis margins and progressions on capex remain key medium term triggers.

Rating: We have BUY on WLCO, TATA, NMDC, VEDL, HZ, JSAW, JBIL, NACL, APAT and HOLD on SAIL, JSTL, HNDL, MOIL and COAL.

Exhibit 1: Quarterly review (Rs bn)

Tata Steel	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ	Key highlights
Revenue	536.5	586.9	570.0	-2%	6%	-3%	• Standalone operations posted EBITDA of Rs 77.3bn (+3.1%/-5.1% YoY/QoQ) during the quarter • EBITDA loss at Tata Steel UK (TSUK) narrowed to Rs 7.4bn versus losses of Rs 7.7bn in 2QFY26, remaining flat YoY; lower costs and better NSRs supported profitability improvement at the Netherlands operations, while better UK realisations were partially offset by higher substrate and RM costs during the quarter. • Europe steel prices are expected to improve, aided by CBAM and tariff changes post June 2026, while net debt/EBITDA is maintained near 3x. • The definitive phase of CBAM has impacted 9MFY26 EBITDA by EUR 150mn due to emission-related costs.
EBITDA	59.0	89.0	82.0	-4%	39%	-8%	
EBITDA margin	11.0%	15.2%	14.4%	-37	338	-77	
PAT	3.0	31.8	27.3	15%	824%	-14%	
Sales volume (mt)	7.7	7.9	8.2	-9%	6%	4%	
NSR (Rs/t)	69,493	74,196	69,430		0%	-6%	

JSW Steel	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ	Key highlights
Revenue	413.8	451.5	459.9	17%	11%	2%	• JSTL reported crude steel production of 7.5mt this quarter, registering 6.4% YoY growth driven by the ramp up of the JVML Vijayanagar project, however, production fell due to shutdown of Blast Furnace 3 (BF-3) at Vijayanagar since end of September 2025 for capacity upgrades. • The board has approved a 5mt steel plant in Jagatsinghpur, Odisha, with a capex of Rs 316bn planned for commissioning by FY30. • JSTL has announced a strategic joint venture with JP Steel Japan for its BPSL Steel business, with JP acquiring a 50% stake.
EBITDA	55.8	71.2	65.0	-2%	16%	-9%	
EBITDA margin	13.5%	15.8%	14.1%	-277	64	-163	
PAT	7.2	16.5	24.1	46%	235%	46%	
Sales volume (mt)	6.7	7.3	7.6	2%	14%	4%	
NSR (Rs/t)	61,666	61,515	60,198		-2%	-2%	

SAIL	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ	Key highlights
Revenue	244.9	267.0	273.7	8%	12%	2%	• 3QFY26 consolidated EBITDA of Rs 22.94bn, up 13% YoY and down by 9% QoQ, driven by higher operational efficiency, inventory liquidation, and better realisations. • Realizations for the quarter averaged Rs 57,024/t (+2% YoY), falling marginally by 2% despite a sharper 8% QoQ fall in HRC prices. • Management has reaffirmed FY26 sales volume guidance at ~19.5mt supported by inventory liquidation; 4Q volumes are likely to exceed 3Q despite limited NSL contribution. • SAIL has reduced debt by Rs 50bn over nine months ended December 2025, with an additional Rs 20bn reduction recorded in January 2026.
EBITDA	20.3	25.3	22.9	54%	13%	-9%	
EBITDA margin	8.3%	9.5%	8.4%	248	9.44	-109	
PAT	1.1	7.6	3.7	-290%	230%	-51%	
Sales volume (mt)	4.6	4.6	4.8	-1%	4%	4%	
NSR (Rs/t)	53,239	58,053	57,024		7%	-2%	

NMDC	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ	Key highlights
Revenue	65.7	63.8	76.1	13%	16%	19%	• NMDC reported 3QFY26 EBITDA of Rs 21.4bn (-10%/+8% YoY/QoQ), due to higher royalty, paid on iron ore production during the quarter. • The company has applied for and is expecting 13mt EC limit enhancement at Deposit 4 and Deposit 13 to achieve the near term target of 68mt. • EBITDA margin during the quarter was 28.2% compared to 31.3% in 2QFY26 and 36.1% in 3QFY25.
EBITDA	23.7	19.9	21.4	-17%	-10%	8%	
EBITDA margin	36.1%	31.3%	28.2%	-990	-794	-308	
PAT	19.0	16.8	17.5	-14%	-8%	4%	
Sales volume (mt)	11.9	10.7	12.7	13%	6%	18%	
NSR (Rs/t)	5,501	5,944	5,993		9%	1%	

Coal India	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ	Key highlights
Revenue	368.6	301.9	349.2	8%	-5%	16%	• Revenue Rs 349bn (-5%/+16% YoY/QoQ) and EBITDA Rs 78bn (-31%/+35% YoY/QoQ). EBITDA margin at 22.5%, fell 862bps/317bps YoY/QoQ. • PAT of Rs 71bn (-16%/+68% YoY/QoQ). • E-auction sales volume 19.52mt (+1%/+27% YoY/QoQ) and FSA sales volume 165.14mt • (-3%/+12% YoY/QoQ). Average realization for the quarter stood at Rs 1,851/t (-2%/+2% YoY/QoQ). • COAL's board of directors has declared 3rd interim dividend for FY26 of Rs 5.50/share. Record date fixed 18th Feb 2026.
EBITDA	114.8	58.5	78.7	6%	-31%	35%	
EBITDA margin	31.2%	19.4%	22.5%	-46	-862.25	316.99	
PAT	84.9	42.6	71.7	47%	-16%	68%	
Sales volume (mt)	194.1	166.0	188.2	1%	-3%	13%	
NSR (Rs/t)	1,899	1,819	1,856		-2%	2%	

MOIL	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	3.7	3.5	3.6	-8%	-2%	3%
EBITDA	1.0	1.0	1.0	-16%	2%	-2%
EBITDA margin	25.9%	28.6%	27.0%	-261	109	-156
PAT	0.6	0.7	0.5	-40%	-17%	-25%
Sales volume (kt)	0.4	0.4	0.4	-13%	-4%	6%
NSR (Rs/t)	9,454	9,832	9,623		2%	-2%

Key highlights

- MOIL reported 3QFY26 revenue of Rs 3.6bn (-2% YoY / +3% QoQ), primarily due to lower-than-expected realizations amidst subdued demand during the quarter.
- EBITDA margin during the quarter averaged 27.0%, compared to 28.6% in 2QFY26 and 25.9% in 3QFY25.
- Sales volume for the quarter was 0.37mt, reflecting a 3.6% YoY drop but grew 6% QoQ. MnO (non fines) realization for the quarter was Rs 10,256/t (+4% YoY/ +6% QoQ), while the blended realization was Rs 8,607/t, up 4% YoY but down 1% QoQ.
- EBITDA/ton for 3QFY26 stood at Rs 2,601/t, marking a 6% YoY growth and 7% QoQ decline.

Hindalco	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	583.9	660.6	665.2	-7%	14%	1%
EBITDA	76.0	89.8	79.8	-8%	5%	-11%
EBITDA margin	13.0%	13.6%	12.0%	-12	-103	-160
PAT	37.4	47.4	20.5	-57%	-45%	-57%
India aluminium sales (kt)	437.0	454.0	453.0	-4%	4%	0%

Key highlights

- Revenue for the quarter Rs 665.2bn (+13.9%/+0.7% YoY/QoQ).
- EBITDA for the quarter was Rs 79.8bn (+4.9%/-11.2% YoY/QoQ). EBITDA margin was 12% as compared to 13.6% in 2QFY26 and 13.1% in 3QFY25.
- PAT for the quarter was Rs 20.5bn (-45.1%/-56.8% YoY/QoQ) due to one off exceptional loss of Rs 26.1bn of Novelis.
- Consolidated Net Debt Rs 594.61bn and net debt to EBITDA at 1.72x as of December 2025 vs 1.39x a year ago.
- The 600kt Bay Minette expansion remains on track, with commissioning expected in 2HCY26.

NALCO	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	46.6	42.9	47.3	9%	1%	10%
EBITDA	23.3	19.3	21.8	5%	-6%	13%
EBITDA margin	49.9%	44.9%	46.1%	-199	-386	120
PAT	15.7	14.3	16.0	4%	2%	12%
Metal sales (kt)	106	112	119	-3%	13%	6%

Key highlights

- NACL 3QFY26 revenue of Rs 47.3bn (+1.5% YoY and +10.2% QoQ), EBITDA at Rs 21.8bn (-6.4% YoY and +13.2% QoQ) due to lower costs and higher alumina sales.
- Aluminium metal sales during the quarter were 119kt (+12.5%/+6.2% YoY/QoQ) with an EBITDA/t of USD 1,600/t (+25.9%/+20.3% YoY/QoQ), primarily benefiting from higher premiums and operational efficiency resulting in lower unit costs.
- The 5th stream 1mt alumina refinery is slated to begin commissioning in June this year, with stabilization expected to take three to four months.
- Management expects to finalise the technology partner for 500kt aluminium smelter expansion in the coming months along with the DPR; the project would subsequently take approximately 36 months to commission.

Vedanta	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	391.2	398.7	459.0	10%	17%	15%
EBITDA	111.0	114.0	151.7	8%	37%	33%
EBITDA margin	28.4%	28.6%	33.1%	-49	466	447
PAT	35.5	-2.7	75.7	38%	114%	-2,926%
Aluminium sales (kt)	614.0	617.0	620.0	3%	1%	0%

Key highlights

- VEDL's 3QFY26 consolidated EBITDA at Rs 152bn (+36.6% YoY, +33.1% QoQ) primarily driven by lower costs and forex gains.
- The aluminum segment reported Rs 70.2bn EBITDA (+55% YoY, +27% QoQ) with realisations at USD 3,072/t (+8%/+7% YoY/QoQ).
- Zinc International reported 59kt volumes, registering +28%/-2% YoY/QoQ change.
- Gamsberg phase II is 90% complete, with commissioning targeted in 4QFY26. In oil and gas, Mangla ASP implementation commissioning is expected to unlock roughly 40 million barrels of reserves, with additional gas discoveries also expected in future.
- The demerger effective date is targeted for 1st April, with listings of demerged entities expected in the same quarter.

Hindustan Zinc	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	86.1	85.5	109.8	5%	27%	28%
EBITDA	45.0	44.5	60.5	9%	35%	36%
EBITDA margin	52.2%	52.0%	55.1%	189	291	314
PAT	26.8	26.5	39.2	12%	46%	48%
Refined metal sales (kt)	204.0	202.0	221.0	0%	8%	9%

Key highlights

- HZ's 3QFY26 revenue of Rs 106.27bn (+27.8%/+28.3% YoY/QoQ) driven by higher commodity prices, increased production, and a stronger dollar.
- HZ reported 276kt mined metal production in 3QFY26, up by 4.2% YoY and 7% QoQ.
- HZ closed 3QFY26 with a net cash of Rs 3.3bn compared to a net debt of Rs 25.4bn as on September 30, 2025.
- Management reiterated silver volume guidance of 680tons +/-10tons for FY26, expecting robust volumes in 4Q to bring it close to the guided range.
- The 250ktpa integrated smelter at Debari is expected to be completed by 2QFY29 while the 10mtpa tailing reprocessing plant at Rampura Agucha is expected to be completed by 4QFY28.

APL Apollo	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	54.3	52.1	58.2	10%	7%	12%
EBITDA	3.7	4.7	5.0	4%	35%	5%
EBITDA margin	6.8%	9.1%	8.5%	-6	178	-53
PAT	2.2	3.0	3.1	3%	43%	3%
Sales (kt)	828.2	855.0	917.0	0%	11%	7%
NSR (Rs/t)	65,597	60,890	63,416		-3%	4%

Key highlights

- The company reported EBITDA/t of Rs 5,146/t this quarter (+23.3%/-1.6% YoY/QoQ), recording a marginal dip despite a 6% decline in HRC prices.
- Management has raised volume growth guidance to ~20% YoY for 4QFY26 as well as for FY27. The company now guides for EBITDA/t of Rs ~5,500 in FY27.
- With a net cash position of Rs 5.6bn as of 3QFY26, expected to rise to Rs 15bn by FY26 end, and with most of the major capex cycle behind, the company aims to enhance capital efficiency and drive ROCE toward 40% by FY27.
- The company is undertaking phased capacity expansion from 5mt to 8mt over the next two years entailing a total capex of ~Rs 15bn, to be fully funded through internal accruals.
- Additionally, the company plans a brownfield expansion project in Raipur for value added products as its existing capacity utilization reached 70% in 3Q.

Jindal SAW	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	52.7	42.3	49.4	15%	-6%	17%
EBITDA	9.4	4.5	6.1	19%	-35%	36%
EBITDA margin	17.8%	10.6%	12.4%	44	-543	174
PAT	4.8	1.4	2.5	29%	-48%	79%
India pipes sales (kt)	432.0	293.0	370.0	20%	-14%	26%
NSR (Rs/t)	1,22,021	1,44,491	1,33,606		9%	-8%

Key highlights

- In India, steel pipe and tubes production stood at 389kt (-11% YoY/-2% QoQ), with sales at 370kt (-14% YoY/+26% QoQ).
- India steel pipes and pellets orderbook currently stands at USD 1.5bn (vs. USD 1.4bn in 2QFY26), with USD 39mn attributable to pellets. UAE operations hold an orderbook of USD 235mn, offering 9 to 12 months of execution visibility.
- The management also anticipates sustained volume growth in FY27, driven by a strong sales pipeline and large inquiries from both domestic and international markets.
- Adverse market conditions in the DI pipe sector, witnessing higher supply and lower demand, have contributed to margin contraction.
- Execution under the Jal Jeevan Mission has virtually come to a halt, impacting liquidity flow and disrupting the broader supply chain.

Jai Balaji Industries	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	14.9	13.5	13.3	-13%	-11%	-2%
EBITDA	1.9	0.7	0.5	2%	-71%	-24%
EBITDA margin	12.8%	5.3%	4.1%	63	-868	-122
PAT	1.2	0.3	0.1	-21%	-90%	-56%
Sales volume (kt)	0.2	NA	NA	NA	NA	NA

Key highlights

- Revenue for the quarter reported at Rs 13.3bn (-11%/-2% YoY/QoQ).
- EBITDA at Rs 0.54bn (-71%/-24% YoY /QoQ). EBITDA margin came in at 4.1% vs. 5.3% in 2QFY26 and 12.1% in 3QFY25.
- PAT at Rs 0.1bn (-90%/-56% YoY/QoQ). PAT margin for the quarter stood at 0.9% vs. 2.0% in 2QFY26 and 8.1% in 3QFY25.

Welspun Corp	3QFY25	2QFY26	3QFY26	vs est	YoY	QoQ
Revenue	36.1	43.7	45.3	20%	25%	4%
EBITDA	4.3	5.9	6.2	2%	42%	4%
EBITDA margin	12%	14%	14%	-233.32	156	7
PAT	6.7	4.4	4.6	12%	-32%	3%
Sales volume (kt)	302.0	331.0	357.0	6%	18%	8%

Key highlights

- WLCO reported 3QFY26 EBITDA of Rs 6.16bn, registering growth of 42% YoY and 4% QoQ. WLCO's EBITDA margin of 13.6% for the quarter reflects a 156bps YoY increase led by a superior product mix and favorable demand scenario in key markets.
- The quarter's performance positions WLCO well in line with meeting its annual guidance of 25% and 32% YoY growth in revenue and EBITDA, respectively.
- In the US, the HFIW mill upgrade from 20-inch to 24-inch and commissioning of a new LSAW mill by end-FY27 are expected to enhance exposure to higher-value pipeline applications.
- The company incurred a one-time gratuity and leave encashment provision of ~Rs 0.25bn in 3QFY26, linked to implementation of the new labour code.

Source: Company, Systematix Research

Exhibit 2: Coverage snapshot

Company	Mcap (Rs bn)	CMP (Rs)	TP (Rs)	Upside / Downside	FY26-28E CAGR (%)			RoE (%)			P/E (x)			EV/EBITDA (x)		
					Sales	EBITDA	EPS	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Primary steel producers																
Tata Steel	2,279	208	230	10%	9%	32%	63%	7%	12%	16%	43.0	23.1	15.3	10.8	7.7	5.9
JSW Steel	2,878	1,234	1,162	-6%	6%	13%	21%	12%	12%	13%	28.8	25.6	18.7	12.0	10.9	9.4
SAIL	610	159	138	-13%	7%	8%	8%	5%	5%	5%	22.5	21.2	18.8	8.3	7.8	7.1
Mining																
NMDC	722	80	95	19%	11%	11%	6%	22%	20%	18%	9.7	9.2	8.8	6.1	5.4	5.0
Coal India	2,643	424	371	-12%	NA	NA	NA	36%	31%	NA	8.0	8.0	NA	5.9	5.8	NA
MOIL	69	298	392	31%	11%	11%	14%	16%	17%	17%	13.6	11.3	12.6	8.3	7.1	6.7
Non-ferrous																
Hindalco	2,093	936	840	-10%	14%	12%	9%	17%	17%	16%	9.2	8.4	7.3	6.0	5.3	4.7
NALCO	656	341	436	28%	12%	15%	13%	28%	25%	26%	11.2	10.9	10.0	6.9	6.7	5.2
Vedanta	2,489	682	898	32%	10%	17%	25%	46%	54%	43%	13.5	9.1	9.2	5.9	4.4	4.3
Hindustan Zinc	2,661	589	755	28%	11%	20%	23%	88%	91%	84%	19.6	15.5	14.4	11.9	9.8	8.3
Iron and steel products																
APL Apollo Tubes	529	2,186	2,393	9%	15%	25%	28%	24%	28%	26%	54.2	38.1	29.7	35.8	25.7	21.9
Jindal SAW	103	181	235	30%	7%	17%	23%	9%	9%	11%	10.4	9.7	6.8	6.3	6.0	4.6
Jai Balaji Industries	60	63	133	111%	NA	NA	NA	21%	25%	NA	20.6	12.7	NA	11.1	7.4	NA
Welspun Corp	195	784	1,157	47%	27%	22%	22%	20%	20%	22%	11.1	9.6	7.4	8.0	7.1	5.3

Source: Company, Systematix Research

Exhibit 3: EBITDA margin

	3QFY25	2QFY26	3QFY26	YoY (bps)	QoQ (bps)	Links to access 3QFY26 RU notes
SAIL	8.3%	9.5%	8.4%	9	(109)	SAIL 3QFY26 RU note
JSW Steel	13.5%	15.8%	14.1%	64	(163)	JSW Steel 3QFY26 RU note
Tata Steel	11.0%	15.2%	14.4%	338	(77)	TATA Steel 3QFY26 RU note
Primary steel producers	**11.3%**	**14.2%**	**13.6%**	**231**	**(58)**	
Coal India	31.2%	19.4%	23.0%	(816)	363	
NMDC	36.1%	31.3%	28.2%	(794)	(308)	NMDC 3QFY26 RU note
MOIL	25.9%	28.6%	27.0%	109	(156)	MOIL 3QFY26 RU note
Mining	**31.9%**	**21.5%**	**25.6%**	**(624)**	**411**	
APL Apollo Tubes	6.8%	9.1%	8.5%	178	(53)	APL Apollo Tubes 3QFY26 RU note
Welspun Corp	12.0%	13.5%	13.6%	156	7	Welspun 3QFY26 RU note
Jindal SAW	17.8%	10.6%	12.4%	(543)	174	Jindal SAW 3QFY26 RU note
Jai Balaji Industries	12.8%	5.3%	4.1%	(868)	(122)	
Steel products	**12.0%**	**10.8%**	**11.7%**	**(26)**	**97**	
Hindustan Zinc	52.2%	52.0%	55.1%	291	314	Hindustan Zinc 3QFY26 RU note
Vedanta	28.4%	28.6%	33.1%	466	447	Vedanta 3QFY26 RU note
NALCO	49.9%	44.9%	46.1%	(386)	120	NALCO 3QFY26 RU note
Hindalco	13.0%	13.6%	12.0%	(103)	(160)	
Non-ferrous	**23.0%**	**22.5%**	**23.7%**	**63**	**116**	
Total	**19.0%**	**18.2%**	**19.3%**	**36**	**110**	

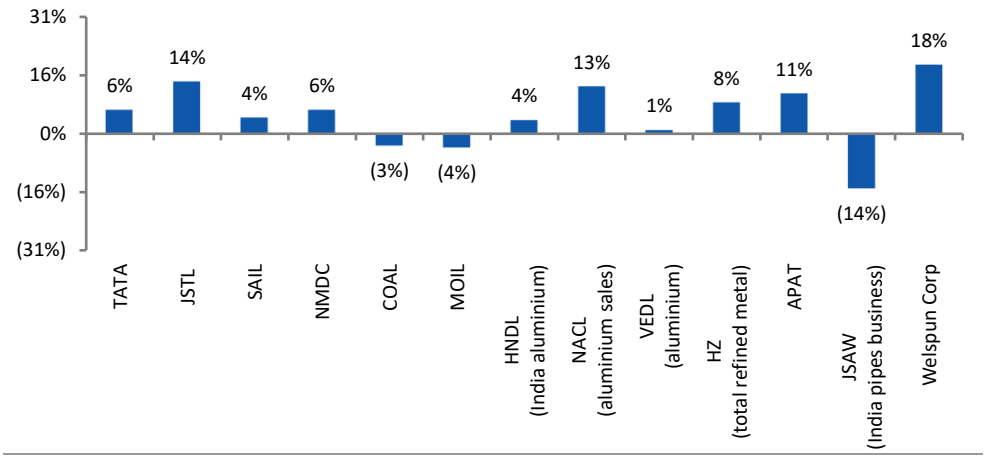
Source: Company, Systematix Research

Exhibit 4: Annual estimate revision

	FY26E	FY27E	FY28E
Tata Steel			
Revenue	-1%	0%	NA
EBITDA	-13%	-6%	NA
Adj. PAT	-26%	-10%	NA
JSW Steel			
Revenue	1%	-4%	-2%
EBITDA	1%	-12%	-7%
Adj. PAT	3%	-22%	-12%
SAIL			
Revenue	0%	4%	NA
EBITDA	-2%	-14%	NA
Adj. PAT	-8%	-40%	NA
NMDC			
Revenue	0%	0%	NA
EBITDA	-5%	0%	NA
Adj. PAT	-6%	0%	NA
Coal India			
Revenue	-4%	-4%	NA
EBITDA	-18%	-18%	NA
Adj. PAT	-16%	-16%	NA
MOIL			
Revenue	-2%	-7%	NA
EBITDA	-2%	-7%	NA
Adj. PAT	-1%	-3%	NA
HINDALCO			
Revenue	6%	11%	NA
EBITDA	26%	25%	NA
Adj. PAT	42%	40%	NA
NALCO			
Revenue	7%	10%	18%
EBITDA	31%	15%	25%
Adj. PAT	33%	15%	17%
Vedanta			
Revenue	4%	9%	NA
EBITDA	4%	18%	NA
Adj. PAT	7%	26%	NA
Hindustan Zinc			
Revenue	4%	6%	14%
EBITDA	5%	9%	3%
Adj. PAT	6%	11%	2%
APL Apollo			
Revenue	-1%	2%	0%
EBITDA	5%	14%	15%
Adj. PAT	2%	14%	23%
Jindal SAW			
Revenue	-10%	-13%	NA
EBITDA	-25%	-32%	NA
Adj. PAT	-33%	-41%	NA
Jai Balaji			
Revenue	-1%	0%	NA
EBITDA	-6%	-1%	NA
Adj. PAT	-8%	-2%	NA
Welspun Corp			
Revenue	-3%	-1%	NA
EBITDA	5%	0%	NA
Adj. PAT	5%	1%	NA

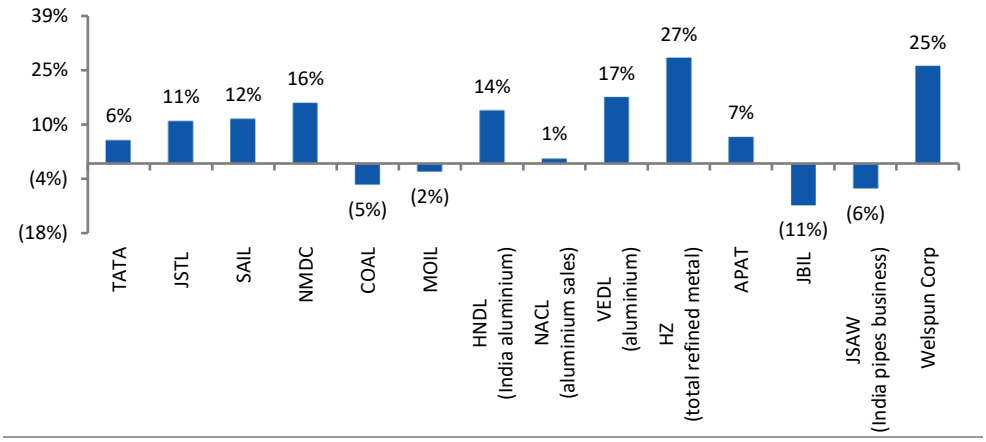
Source: Company, Systematix Research

Exhibit 5: YoY change in quarterly sales volume



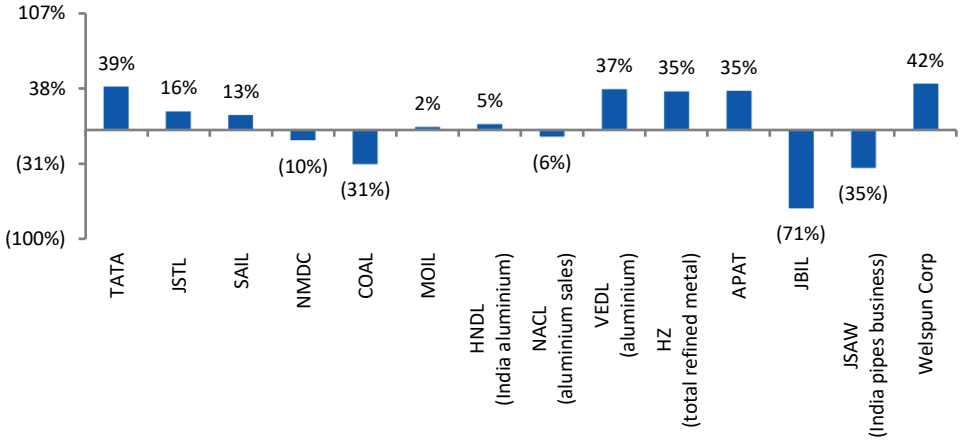
Source: Company, Systematix Research

Exhibit 6: YoY change in quarterly revenue



Source: Company, Systematix Research

Exhibit 7: YoY change in quarterly EBITDA



Source: Company, Systematix Research

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